EVERROOT

Investment Presentation

Plantation timber asset in Southern Bulgaria

Southern Bulgaria, EU

Productive assets

€300k	35 ha	7 years	50/50
target external capital	**plantation**	**to first harvest**	**long-term economics**

€300k provides a buffer above the base case and covers uncertainty around launch, site selection and actual costs.

Important: €300k is external capital, not the project’s total 7-year expenditure.

Source: EverRoot financial model, business plan, pp. 23–25.

One asset. Three revenue streams.

Paulownia

Main long-term
cash flow

From year 7: €350,000–€550,000/year*

Details on slide 5

*timber revenue from a mature 5 ha block. Profit depends on the final product mix.

Alfalfa

early cash flow

Years 1–6

Annual sale of high-protein hay to local farms. Up to €80,000 in year one. Initially helps cover operating costs.

Honey

additional cash flow

Years 4–7

Honey harvest during Paulownia flowering.
Wholesale to European traders. Up to €60,000/year.

Interim revenues reduce dependence on a single realization event.

Revenue structure source: EverRoot business plan, pp. 24–25.

Why Paulownia

≈210 kg/m³

Very lightweight timber

Measured for the Shan Tong hybrid in a Polish study.

up to ≈35 cm

Trunk diameter

Achieved in under 7 years in an intensively irrigated Mediterranean plantation of another commercial hybrid.

short rotation

Renewable asset

Regeneration from an established root system after harvest

“Aluminium wood”

not the “fastest tree”, but a managed timber asset

- short cycle to commercial diameter
- lightweight material for niche products
- potential for subsequent coppice rotations

Figures in the EverRoot model remain assumptions until site selection and agronomic validation.

Sources: Tomczak et al., Materials 2023 (Shan Tong); Fos et al., Eur. J. Wood Wood Prod. 2023; Merriman et al., Forest Ecology & Management 2025.

From trunk to higher value-added products

Model price

01

Roundwood

€200/m³

base product

→

02

Dried boards

€500/m³

processing + drying

→

03

Glued panel

€1,000/m³

deeper processing

The target strategy is to sell more than raw material and gradually move to boards and furniture panels after demand and processing economics are confirmed.

A higher processed-product price does not imply proportional margin growth: processing requires equipment, drying, energy and staff.

Price assumption source: EverRoot business plan, pp. 20 and 26.

How EverRoot manages growth instead of hoping for it

Mycorrhiza

symbiosis between roots and beneficial fungi

goal: improve access to water and nutrients; no specific growth % is assumed as a guarantee

ROOT ZONE

Fertigation

nutrients delivered through the irrigation system

goal: dose nutrition by growth stage and soil-analysis data

Drip irrigation

water delivered directly to the root zone

goal: stable water regime and separate control of plantation blocks

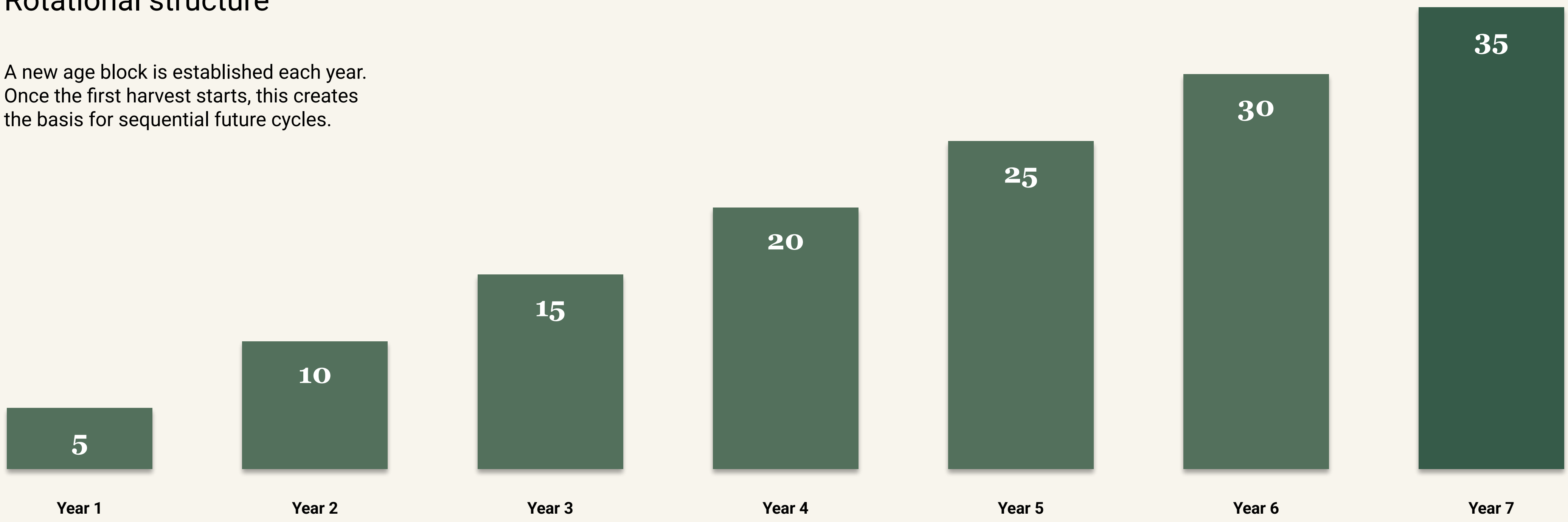
Validated before scaling: soil and water analysis · filtration scheme · source flow rate · fertiliser dosing · response of the selected clone.

Sources: Frontiers in Plant Science 2025 (P. indica × P. elongata, stress test); Gyuleva et al., Bulgaria 2021; EverRoot business plan, pp. 6 and 17.

5 hectares every year — to 35 ha

Rotational structure

A new age block is established each year. Once the first harvest starts, this creates the basis for sequential future cycles.



Why Southern Bulgaria

BG

Southern Bulgaria · EU

01

Field data

Multi-year trials of several Paulownia species and hybrids have already been conducted at southern sites in Bulgaria.

02

Inside the EU single market

Sales to other EU countries do not require importing timber across the Union's external border.

03

Long growing season

Longer active growing season
Southern Bulgaria can potentially provide a longer period of active growth; suitability of a specific site still depends on temperature, rainfall, soil and water availability.

Sources: Gyuleva et al., "Five years growth of Paulownia on two sites in Bulgaria", 2021; EU JRC crop drought reports 2025.

Market opportunity without disputed “magic” numbers

China

The largest and most mature centre for Paulownia cultivation and industrial use.
Paulownia has been used for decades in Chinese agroforestry systems and wood processing.

European Union

Local commercial plantations exist, but the market remains more fragmented.

EverRoot focuses on production directly inside the EU and on B2B buyers.

Russia

EU sanctions have significantly restricted direct supplies of Russian timber and a number of wood products to the Union market.

European supply remains fragmented; sanctions restrict part of Russian wood-product supply, while Ukrainian regulation limits the use of Paulownia in forest regeneration.

Sources: European Commission sanctions alert, 14.03.2025; publications on industrial Paulownia cultivation. Note: Paulownia has no dedicated HS code.

Timeline

Year 1
Purchase and prepare the site. Plant trees and sow alfalfa.

Year 2
Technical cutback, nursery establishment

Years 3–4
Launch apiary, begin honey collection

Years 5–6
scaling, apiary development, final alfalfa harvest

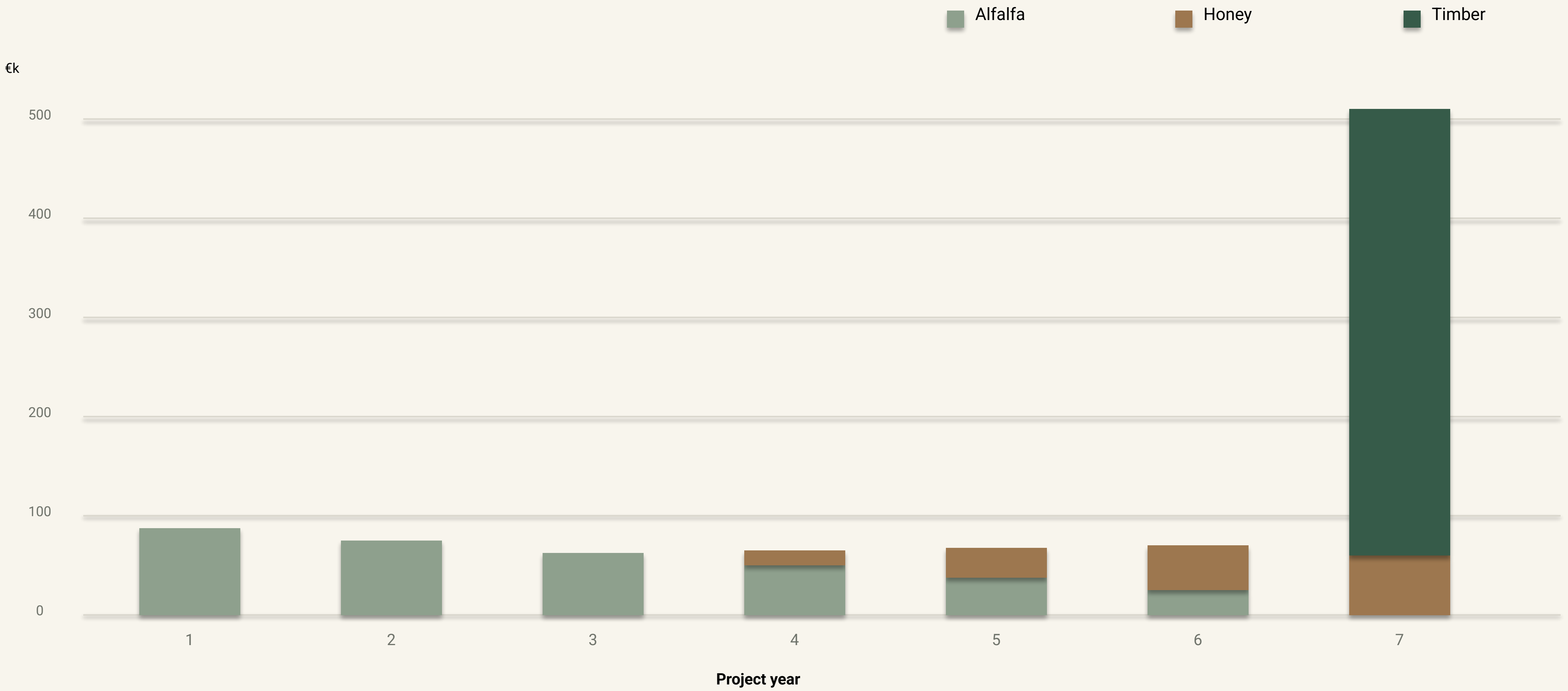
Year 7
first industrial harvest, launch of the wood-processing line

Alfalfa livestock farms · feed producers

Honey local apiaries · wholesalers · packers

Strategy basis: EverRoot business plan, pp. 26–27. A letter of intent confirms interest but does not guarantee a future sale.

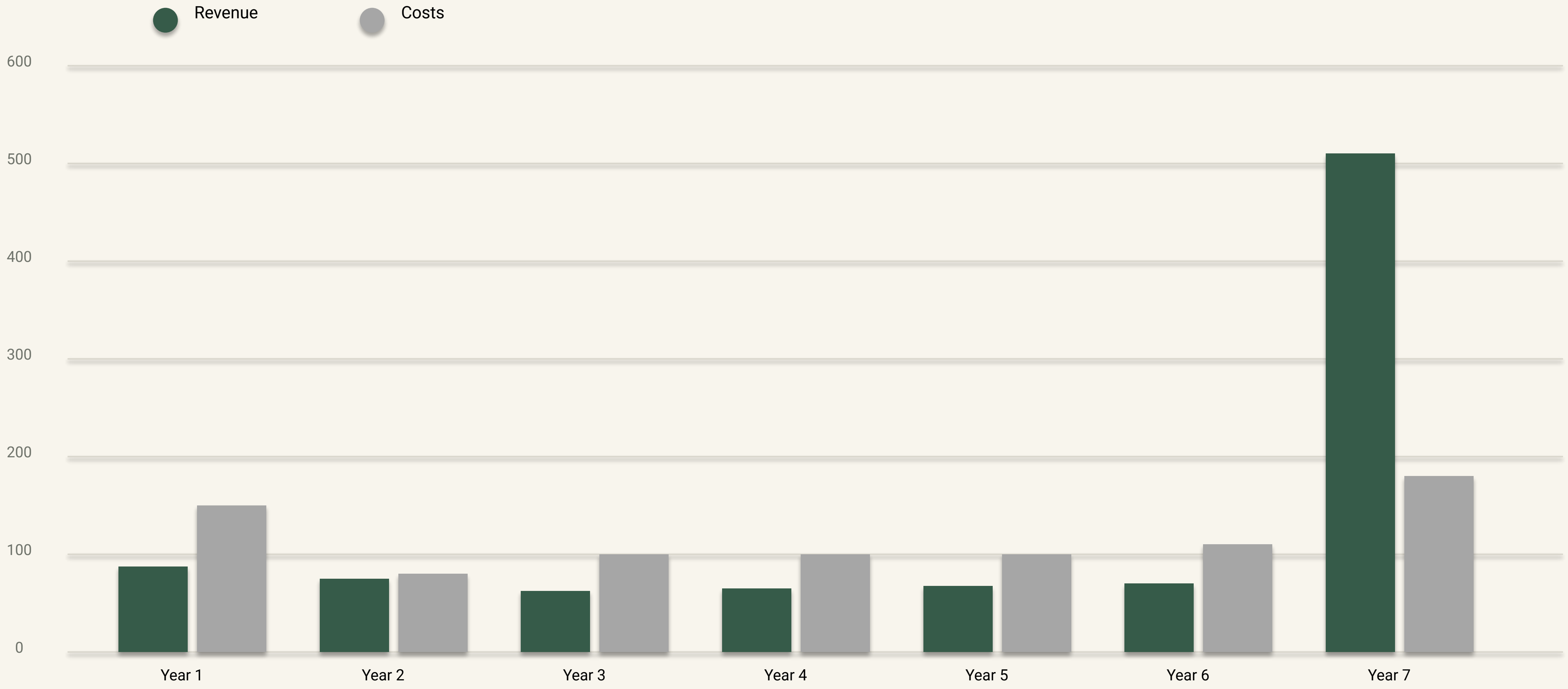
The project generates turnover before timber



Year 7: €60k honey + €450k timber = ≈€510k total revenue in the base case.

Source: EverRoot business plan, pp. 24–25. Seedling sales are not included in the chart.

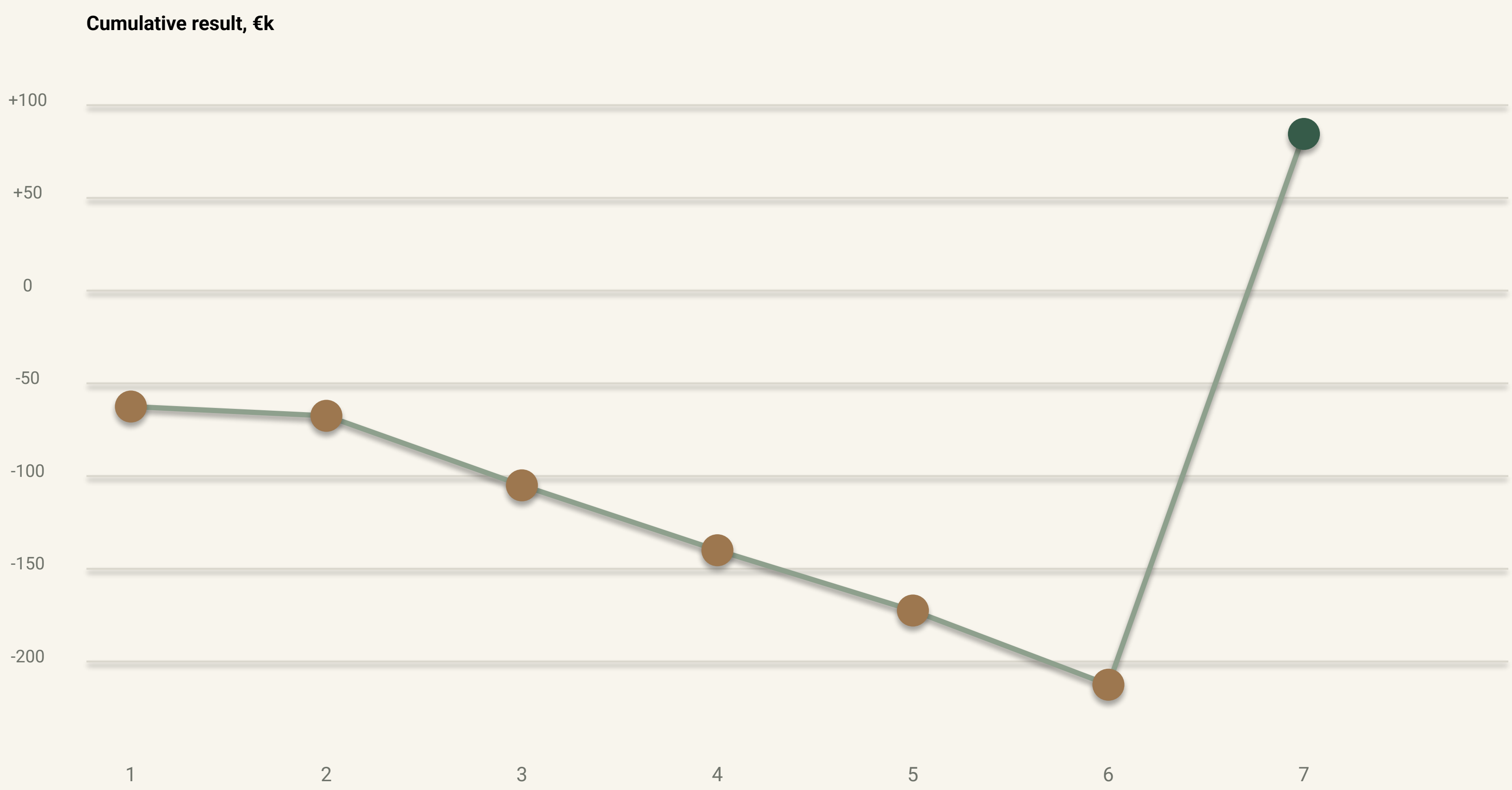
Revenue and costs by year



The model’s main cash-flow inflection occurs in year 7 with the first timber sale.

Source: EverRoot business plan, pp. 23–25. Year 7 includes €450k timber harvest + €60k honey.

Why target external capital is €300k



–€212.5k

peak deficit · end of year 6

€300k

target external capital

≈ €87.5k

buffer above the base-case peak

Source: EverRoot business plan, p. 25. Results depend on actual prices, yields, timing and capital/operating costs.

€300k external capital is not €820k of total expenditure

The internal model estimates cumulative expenditure of ≈€820k over 7 years, but part of these costs is covered by current revenue. For the investor, the key metric is peak capital need, not gross project expenditure.

≈€70k	≈€20k	≈€35k	≈€40–50k	≈€50–100k
Land	**Seedlings**	**Drip irrigation**	**Field equipment**	**Wood-processing equipment**

Remaining capital

salaries · materials · maintenance · working capital · reserve for deviations from the base case

Source: EverRoot business plan, pp. 21–23. Final allocation follows land selection, commercial quotations and due diligence.

What the investor receives and what can change the outcome

€300k
target capital

80 / 20
profit distribution until the investor’s capital is repaid

50 / 50
after capital repayment

Key variables

Survival rate
actual seedling losses

Growth / volume
actual timber yield

Price
timber, alfalfa, honey

Water
flow rate, quality, permits

Costs
land · labour · materials · equipment

Timing
possible delay of the first harvest

The 50/50 structure is the current project reference point; legal terms remain subject to agreement. Priority distributions do not guarantee capital repayment.

Next step — not belief, but verification

Why EverRoot — a reliable asset

01 **Real asset in the EU**

Investment goes into land and equipment within the European Union. Reliable protection of capital against inflation.

02 **ESG and “green” subsidies**

The project is autonomous and does not destroy wild forests. Eligibility for European environmental subsidies and FSC certification.

03 **Founder on site**

Yevhen Filippov — personal operational management of the plantation throughout all 7 years.

Yevhen Filippov

Project initiator

EverRoot is a renewable asset with growing returns: after the first cycle costs fall to a minimum, while Paulownia regrows from the root every 7 years.

EverRoot · Southern Bulgaria · EU